> Our advantage, rather, was attitude: we had learned from Ben Graham that the key to successful investing was the purchase of shares in good businesses when market prices were at a large discount from underlying business values.
>
> . . . Through 1973 and 1974, WPC continued to do fine as a business, and intrinsic value grew. Nevertheless, by year-end 1974 our WPC holding showed a loss of about 25%, with a market value of $8 million against our cost of $10.6 million. What we had bought ridiculously cheap a year earlier had become a good bit cheaper as the market, in its infinite wisdom, marked WPC stock down to well below 20 cents on the dollar of intrinsic value.[3]
>
> —*Warren Buffett*

As an aside, Mr. Buffett hasn't sold a single share of the *Washington Post* over the past 33 years of holding the stock. That original $10.6 million dollar investment is now worth over $1.3 billion—over 124 times the original investment. The *Washington Post* pays a modest dividend that is not included in the 124-times number. That modest dividend, now paid by the *Post* to Berkshire every year, exceeds the amount Mr. Buffett paid for the stock in the first place.

Why was the *Washington Post* trading at such a large discount to intrinsic value in 1973/1974? Mr. Buffett goes on to offer an explanation:

> Most institutional investors in the early 1970s, on the other hand, regarded business value as of only minor relevance when they were deciding the prices at which they would buy or sell. This now seems hard to believe. However, these institutions were then under the spell of academics at prestigious business schools who were preaching a newly-fashioned theory: the stock market was totally efficient, and therefore calculations of business value—and even thought, itself—were of